

STAKE SALE

A PERFECT SCRIPT?

Adar Poonawalla's decision to invest ₹1,000 crore in Karan Johar's Dharma Productions is certainly intriguing

BY KRISHNA GOPALAN

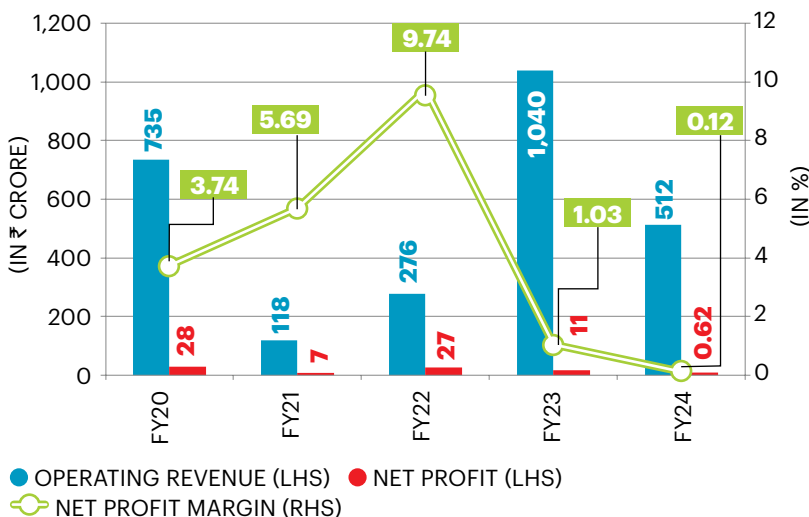
► **KARAN JOHAR'S DHARMA** Productions was looking to sell a stake. But discussions with Saregama and Reliance Industries did not yield results, with the buzz that both valuation and shareholding are contentious issues. Now, in an interesting development, Adar Poonawalla, the CEO of Serum Institute, has decided to acquire a 50% stake in Dharma at a valuation of ₹2,000 crore.

20 | A press statement announcing the deal did not provide any information regarding shareholding. Whether this is a fresh equity infusion by Poonawalla through a company called Serene Productions, Johar's exit, or a com-

LOSING THE PLOT
In FY24, Dharma Productions' revenue dropped 50% over a year, while net profit declined 94%

SCREEN TEST

- The profitability of Dharma Productions has suffered on the back of limited successes
- OTT has also significantly impacted traditional satellite revenue



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bination of both remains unclear. Dharma has been going through a challenging situation financially, with both revenues and profitability declining. Johar, who made it big in 1998 with his debut film, *Kuch Kuch Hota Hai*, maintained a streak of hits—both as director and producer. However, in recent years, he has faced challenges with his films not working and revenue from the sale of satellite rights, once a cash cow, not looking attractive any more. Dharma's numbers for FY24, that show a 50% drop in revenues and a 94% decline in net profit, have added to the debate on the deal's high multiples—4x of the year's revenue and 360x of Ebitda.

As per the statement, the new structure will position Johar as the Executive Chairman, spearheading the company's vision, while Apoorva Mehta, as CEO, will work with him to steer the strategic direction and oversee operations. Industry trackers say the arrangement is structured to "maximise Johar's equity to secure deals while still allowing him to retain shareholder status".

Utkarsh Sinha, MD of Bexley Advisors, a boutique investment bank focussed on the tech and media sectors in India, points out that apart from no clarity on the infusion of equity, one does not know if the entire amount (₹1,000 crore for a 50% stake) will be disbursed at once. "It is not possible to figure out if it includes any monies earmarked for funding future projects or what the profit-sharing dynamics for projects funded from such allocations will be," he says. An email to Serene and Dharma did not elicit a response.

"It is not uncommon for studio deals to include future project financing and this deal may include such provisions. This rings particularly true as a pure 50% represents a rather rich valuation when compared to prevailing industry multiples," sums up Sinha. **BT**

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